Close faster, recover more

AI-powered CTV revenue reconciliation for Apex Exchange

Prepared for: CFO / VP Revenue Accounting · Director of Billing Operations · VP Data Engineering

1 · The headline

$8.9M of Apex's own Q3 net revenue (14% of it) is exposed to DSP billing gaps. $3.0M of that is recoverable, and today each dispute takes 3 weeks.

The Reconciliation Copilot finds every gap the day a partner's file lands, tells Billing Ops *why* it happened, drafts the dispute, and tracks it to cash, on one governed platform.

What changes	Today	With the Copilot
Right root cause on the cases analysts work (715 in Q3)	55% (analyst rules of thumb)	**92%** (model, Jul–Sep test)
Time to resolve a dispute	21 days avg · 33 days p90	**Target ≤ 7 days**
Cases that need a credit or a reporting fix, not a chase	Not separated	**348 cases / $8.5M** routed straight to the right fix
Bad rows in partner files	Found in spreadsheets, if at all	**1,728 caught automatically** before billing

2 · Why this matters to Apex

- Apex sits in the middle of the money: **DSPs pay Apex, Apex pays publishers and keeps its take** (14.3% on average). Q3 2026: **$432M gross CTV spend, $61.9M Apex net revenue.**
- When a DSP pays on a lower count, who absorbs it depends on the publisher's terms:
  - **Publisher paid on Apex's count** (most guaranteed deals): Apex still owes the publisher, so **Apex absorbs the whole gap**.
  - **Publisher paid on cleared revenue:** the publisher absorbs most of it; Apex loses its take, and the publisher relationship takes the hit.
- Q3: **$24.4M billing shortfall** across all deals (5.7% of gross). **$18.1M** of it is on 715 deal-months over contract tolerance across 39 of 40 DSPs: that's the **revenue at risk**. **$8.9M** of that hits Apex's own P&L.
- Disputed invoices sit unpaid: about **$200K of revenue at risk a day**.

Q3 2026	Cases	Revenue at risk	Apex net exposure
Publisher paid on Apex's count	279	$7.3M	**$7.3M**
Publisher paid on cleared revenue	436	$10.8M	**$1.6M**
Total	**715**	**$18.1M**	**$8.9M**

3 · Why the counts don't match

Root cause	What happens in CTV	What to do	Q3 revenue at risk	Apex net exposure
IVT filtering	The DSP's fraud vendor removes spoofed CTV traffic	Credit only third-party-verified IVT	$7.9M	$4.1M
Billing error	Unexplained under-reporting on some days	Dispute (60% recovered historically)	$5.2M	$2.4M
Missing data	Days missing from the DSP's report	Get the days, then bill (90% recovered)	$3.5M	$1.7M
Timezone shift	DSP reports in US time; primetime crosses midnight UTC	Ask for UTC reporting; no billing change	$0.6M	$0.3M
Within tolerance	Daily noise flagged the deal; the month is within contract	None	$0.8M	$0.5M

Root causes are the model's calls on the Q3 queue. Recovery rates are Billing Ops' actual Jan–Jun 2026 outcomes. Real cases are often mixed (e.g. a billing error plus some IVT); the model names the main cause.

4 · Today vs. tomorrow

Today: download each DSP's file → spreadsheet lookups → email back and forth → guess the cause → write off what's left.

Tomorrow: 1. Partner files are ingested and checked automatically (Lakeflow). 2. Every deal is reconciled against Apex's logs, daily and monthly. 3. A model explains *why* each gap happened, and a draft dispute is ready (AI). 4. Analysts work one ranked queue and resolve in a click (Databricks App + Lakebase). 5. Finance asks questions in plain English (Genie).

5 · The Reconciliation Workbench

- **Close overview:** September: Apex $153.5M vs DSP-reported $144.6M. $8.9M billing shortfall, of which **$6.8M is at risk in 219 cases** and **$3.3M is Apex's own exposure**.
- **Triage queue:** cases ranked by dollars at risk, with the model's root cause and confidence.
- **Case detail:** e.g. *Mosaic Bid · Bluebird TV OS · Entertainment PMP, September: $252,043 gap (23%) vs a 5% threshold. Model: billing error (100%). Publisher paid on cleared revenue at a 13.4% take, so Apex's own exposure is $33,774.* Daily Apex-vs-DSP chart, evidence, AI case summary, an editable dispute email, and Send / Resolve. For IVT, the analyst credits only what the partner's third-party report verifies and recovers the rest.
- **Ask Genie:** *"What's our revenue at risk by partner team for September?"* → Central $2.88M, Pacific $1.79M, Atlantic $1.58M, EMEA $0.52M.

6 · Impact on your KPIs

KPI (owner)	Baseline (Q3 2026 data)	Target	Annual value
Net revenue recovered (CFO)	$3.0M recoverable to Apex's P&L per quarter ($6.3M gross); team works ~60% of cases today*	Pursue every recoverable case	≈ **$4.7M / year to Apex's P&L** (40% × $3.0M × 4; ≈ $10M gross cash)
Dispute cycle time / DSO (CFO)	21 days	≤ 7 days	≈ **$2.8M cash released** (one-time; ~$200K/day × 14 days)
Analyst effort (Billing Ops)	~270 cases/month × ~2.5 h* ≈ 4.2 FTE	~45 min per case (draft + evidence ready)	≈ **3 FTE redeployed**
Right fix first time (Billing Ops)	Rules of thumb pick the right cause 55% of the time	Model: 92%	348 cases / quarter go straight to a credit or reporting fix
Month-end close (CFO)	~10 business days*	~4 days	Faster, auditable close

* Assumptions to validate in discovery: today's coverage (60%), manual effort per case (2.5 h), close length (10 days). Everything else is computed from the build's data.

7 · What it costs to run

	Measured on this build (list price)	Production estimate
Full build (ingest, reconcile, retrain, 250 AI drafts)	≈ **$3.80 per run** (6 runs in October, ~9 min each)	Daily: ≈ $1.4K / year
Reconciliation Workbench app	≈ $11 / day, always on	≈ $4K / year
Lakebase case store + sync	< $1 for the month	negligible
Total		**≈ $5.4K / year at build scale; budget ≈ $55K / year at 10× for Apex's full volume**

≈ **$4.7M a year to Apex's P&L for ≈ $55K a year to run: ~85× return**, before cycle time and analyst capacity. *Costs come from Databricks system billing tables for this build. The SQL warehouse is shared, so it isn't included.*

8 · For the CFO

- **More net revenue, sooner:** ≈ $4.7M a year to Apex's P&L that currently goes stale, plus faster collection.
- **Know your real exposure:** every gap split into what Apex absorbs vs. what passes through to publishers, by partner, deal and cause.
- **Audit-ready:** every number traces from the partner file to the invoice (Unity Catalog lineage), and every analyst action is logged.
- **Controls:** dollar figures are visible to Finance only; partner managers see only their own DSPs, in every reconciliation table, the case queue and Genie. Enforced by the platform, not the app.

9 · For the Director of Billing Operations

- One queue, ranked by dollars, so the team works the right cases first.
- The right root cause on the cases you actually work 92% of the time, vs 55% for today's rules of thumb. Analysts confirm or override, and that feedback retrains the model.
- Dispute emails drafted from the evidence and the contract: 250 drafts, every dollar figure checked, every ask checked against the contract's billing basis, rated 4.7/5 for accuracy by an independent AI judge.
- IVT handled by the book: credit only verified invalid traffic, recover the rest.
- Bad partner files caught on arrival, not at month-end.

10 · How it works: one governed platform

Need	Databricks
Ingest SSP logs + DSP reports, check quality	**Lakeflow**: bronze → silver → gold, 4 data-quality rules
Govern revenue data by partner and role	**Unity Catalog**: row filters, column masks, lineage
Explain the gap, draft the dispute	**ML** (MLflow, model registry) + **GenAI** (`ai_query`, Claude)
Live case workflow	**Lakebase** (Postgres), queryable live in Unity Catalog
Plain-English questions	**Genie**
The analyst's workbench	**Databricks App**

11 · Proof from the build

- 3.57M hourly log rows and 158K DSP report rows, covering 9 months, 40 DSPs and 800 CTV deals.
- 1,728 bad partner rows caught by the pipeline's quality rules.
- Root-cause model on the 715 Q3 cases: **92% accuracy, macro F1 0.91** vs 55% / 0.41 for today's rules (0.85 vs 0.54 F1 against past analyst labels).
- GenAI: 100% of dollar figures grounded; 100% consistent with the contract; 0 parse failures.
- Genie: **14/14** finance questions answered correctly against reference SQL.
- App: tested end to end, from opening a case to sending the dispute to resolving with a verified IVT credit. The result shows up in Unity Catalog and Genie immediately.

12 · Rollout plan

When	What	Success measure
Days 0–30	Pilot with the **top 5 DSPs (38% of Q3 revenue at risk)** on Apex's real files; analysts run the workbench alongside spreadsheets	Root-cause agreement with analysts ≥ 85%
Days 31–60	All 40 DSPs; on-behalf-of-user access in the app	Cycle time ≤ 10 days
Days 61–90	Retire the spreadsheet process; retrain on analyst-confirmed causes	Cycle time ≤ 7 days, close ≤ 4 days

13 · Next steps

1. **Discovery session with Billing Ops** to validate the assumptions (coverage, effort per case, close length) and confirm publisher payment terms by deal.
2. **Data access:** one month of auction log extracts + DSP billing files for the top 5 DSPs.
3. **Pilot sponsor:** VP Revenue Accounting, with success criteria agreed up front.
4. **Executive readout** at day 30 with recovered dollars and cycle-time results.